adapted the acceptable practices pertaining to CEA Core Principle 15 into paragraph (c) of Proposed Rule 831.[510]

The Commission received one comment on Proposed Rule 831. The commenter states that he fully supports the intent of the proposed regulations and believes that the CCO role is the single most important compliance role in an SBSEF and that it is critical that its job description, and the entity's rules, structures, and procedures, act to secure and maintain the CCO's independence. For example, the commenter states, the CCO should have a single compliance role and no other competing role or responsibility that could create conflicts of interest or threaten its independence. Therefore, the commenter suggests that the rules restrict the CCO position from being held by an attorney who represents the SBSEF or its board of directors, such as an in-house or general counsel. The commenter also states that the remuneration of the CCO must be specifically designed in such a way that avoids potential conflicts of interest with its compliance role.[511]

The commenter further states that although the CCO would normally report to an executive officer, the CCO must also have a direct reporting line to the independent directors, and the CCO should report to the audit committee at least yearly. The commenter strongly recommends amending § 242.831 such that the authority and sole responsibility to designate or remove the CCO, or to materially change its duties and responsibilities, vests only with the independent directors and not with the full board. This would help, the commenter states, to ensure the independence of the CCO within the entity and would possibly mitigate the need to

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510 Proposed Rule 831(c) would provide that, in determining whether the background and skills of a potential CCO are appropriate for fulfilling the responsibilities of the role of the CCO, an SBSEF would have the discretion to base its determination on the totality of the qualifications of the potential CCO, including, but not limited to, compliance experience, related career experience, training, potential conflicts of interest, and any other relevant factors.

511 *See* Letter from Chris Barnard (May 20, 2022) (submitted under cover email dated June 6, 2022).

promulgate rules requiring the SBSEF to insulate the CCO from undue pressure and coercion or to address the potential conflict between and among compliance interests, commercial interests and ownership interests of an SBSEF.[512]

The CFTC has implemented CEA Core Principle 14 for SEFs in an appropriate way, and that closely harmonizing with subpart P of part 37 would yield comparable regulatory benefits while imposing only marginal additional costs. While the commenter's suggestions would support the independence of the CCO, key provisions of paragraph (b) of Proposed Rule 831 would sufficiently protect the independence and authority of an SBSEF's CCO in performing the required functions. Significantly, paragraph (b)(1) would require that the position of CCO carry with it sufficient authority and resources to fulfill the position's duties, and paragraph (b)(2) would provide that the CCO shall have supervisory authority over all staff acting at the CCO's direction. The SBSEF remains responsible for establishing and administering required policies and procedures.

The Commission also recognizes that most SBSEFs are likely to be dually registered SEF/SBSEFs and that the swaps business of a dually registered SEF/SBSEF is likely to be much larger than its SBS business. Therefore, the greatest compliance risks to a dually registered entity are likely to arise from the swap business rather than the SBS business, and it is thus logical for the SEC to harmonize with the CFTC's rules regarding the CCO. There are strong economic incentives for a dually registered entity to appoint the same individual to serve as the CCO for both the swap and SBS businesses, and for the CCO to carry out their functions under a similar set of rules. Different or additive requirements imposed by the SEC could increase costs for SEF/SBSEFs while generating benefits that are marginal at best. The Commission does not

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512 *See id.*

observe any differences in the SBS market relative to the swaps market that warrant imposing different or additive CCO requirements on SBSEFs relating to the CCO.

For the reasons discussed above, the Commission is adopting Rule 831 as proposed, with minor technical modifications.[513]

VII. CROSS-BORDER RULES

A. Rule 832—Cross-border Mandatory Trade Execution

Given the global nature of the SBS market, where there is frequent interaction among counterparties domiciled in different jurisdictions, the Commission proposed Rule 832 to address when the trade execution requirement would apply to a cross-border SBS transaction.[514] The proposed rule would be consistent with the Commission's territorial approach to applying Title VII requirements in other contexts, where relevant activity need not occur wholly within the United States or solely between U.S. persons for Title VII requirements to apply.[515] As discussed further below, the relevant activity here is "to engage in a security-based swap" in whole or in part in the United States.[516]

Paragraph (a) of Rule 832 would provide that the trade execution requirement set forth in section 3C(h) of the SEA shall not apply to an SBS unless at least one counterparty to the SBS is a "covered person" as defined in paragraph (b). Paragraph (b) of Rule 832 would define the term "covered person" with respect to a particular security-based swap, as any person that is: (1) a

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513 *See supra* note 32. The Commission has also deleted an extraneous "and" at the end of the text of Rule 831(a)(1)(v).

514 *See supra* section V.F (discussing the trade execution requirement of section 3C(h) of the SEA); s*ee also* Proposing Release, *supra* note 1, 87 FR at 28922–25 (discussing proposed Rule 832 in more detail).

515 *See* Proposing Release, *supra* note 1, 87 FR at 28922–23.

516 *See* SEA section 3C(a)(1), 15 U.S.C. 78c-3(a)(1).

U.S. person;[517] (2) a non-U.S. person whose performance under an SBS is guaranteed by a U.S. person; or (3) a non-U.S. person who, in connection with its SBS dealing activity, uses U.S. personnel located in a U.S. branch or office, or personnel of an agent of such non-U.S. person located in a U.S. branch or office, to arrange, negotiate, or execute a transaction. Taken together, the provisions of Rule 832 apply to persons who are—consistent with the relevant statutory provisions added by Title VII—engaging in SBS in the United States.

Two commenters express support for Rule 832 or its subparts. Specifically, one commenter states that inclusion of paragraphs (b)(2) and (b)(3) in the proposed rule—where one counterparty of an SBS transaction is a non-U.S. person whose performance under an SBS is guaranteed by a U.S. person ("guaranteed person transactions"), and where one counterparty of an SBS transaction is a non-U.S. person who, in connection with its SBS dealing activity, uses U.S. personnel located in a U.S. branch or office, or personnel of an agent of such non-U.S. person located in a U.S. branch or office, to arrange, negotiate, or execute a transaction ("ANE transactions"), respectively—are "appropriately broad [and] will help prevent attempted evasion of the trade execution requirement by ensuring that it will apply where there is a significant connection to the U.S., even when neither counterparty is a U.S. person."[518]

While generally supportive of Rule 832, this commenter believes that, in addition to guaranteed person transactions, the rule should also cover transactions that include a "de facto guarantee" by a U.S. person, which this commenter states represents "an unspoken but nevertheless powerful arrangement whereby a parent or other U.S. person has a virtually

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517 Transactions effected through the foreign branch of a U.S. person would be subject to the trade execution requirement, as "a foreign branch has no separate existence from the U.S. person itself." *See* Proposing Release, *supra* note 1, 87 FR at 28923.

518 Better Markets Letter, *supra* note 18, at 14–15.

irresistible incentive to cover the losses incurred by another affiliated entity" given the reputational impact a failure of even a non-guaranteed affiliate could have.[519]

Another commenter expresses support for paragraph (b)(3) of Rule 832 relating to ANE transactions.[520] This commenter agrees that such transactions fall within the Commission's jurisdiction, even if they are booked to non-U.S. entities, and believes that, given the Commission's supervisory interests and policy objectives, it is warranted for the Commission to exercise its jurisdiction over ANE transactions. This commenter states that, "following the CFTC granting no-action relief from the trade execution requirement for ANE transactions, interdealer trading activity in EUR interest rate swaps began to be booked almost exclusively to non-U.S. entities, a fact pattern that academic research found was 'consistent with (although not direct proof of) swap dealers strategically choosing the location of the desk executing a particular trade in order to avoid trading in a more transparent and competitive setting.'"[521] The commenter states that this is "an outcome to avoid in the SBS market."[522]

Several commenters oppose certain aspects of Rule 832. One commenter disagrees with the Commission's application of the trade execution requirement to transactions involving foreign branches of U.S. persons, as well as to guaranteed person transactions.[523] This commenter believes that "mandatory trade execution is not designed to address or mitigate

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519 *Id.* at 15–16. This commenter cited Citigroup's experience with certain structured investment vehicles during the 2008 financial crisis, which this commenter states Citigroup "chose" to bring onto its balance sheet even though it had no legal obligation to do so. *See id.*

520 *See* Citadel Letter, *supra* note 18, at 16.

521 *Id.* (citing Benos, E., Payne, R., and Vasios, M., Centralized trading, transparency and interest rate swap market liquidity: evidence from the implementation of the Dodd-Frank Act, Bank of England Staff Working Paper, at 30 (May 2018), *available at* https://www.bankofengland.co.uk/-/media/boe/files/working-paper/2018/centralized-trading-transparency-and-interest-rate-swap-market-liquidity-update).

522 *Id.*

523 *See* ISDA-SIFMA Letter, *supra* note 18, at 12–13.

systemic risk" and, thus, it is unnecessary to extend SBSEF rules to transactions with non-U.S. counterparties "where the lack of such rules would have no ability of posing risk to the U.S. financial system."[524] This commenter states that guaranteed entities (by definition non-U.S. persons) and foreign branches of U.S. persons are both subject to the laws and regulations of their home country or the foreign jurisdictions in which they and their counterparties operate, respectively, and the commenter states that imposing the rule's mandatory trading obligations on them in transactions with non-U.S. counterparties would result in duplicative regulation, which would increase compliance costs and add complexity and inefficiencies to cross-border trading.[525] This commenter also states that foreign trading venues are already subject to comprehensive regulatory oversight in their home jurisdictions and, based on its experience with the CFTC's SEF trading rules prior to the grant of equivalency to major foreign trading platforms in Europe and Asia, "foreign platforms will deny access to any entity with any connection to the United States, no matter how remote, for fear of being captured by the SEC's regime" and will further fragment SBS markets.[526]

Several commenters also oppose subjecting ANE transactions to the trade execution requirement in Rule 832(b)(3). One commenter believes that ANE transactions fall outside the jurisdictional reach of Title VII, and that "the location of personnel or agents within the United States should not form the basis for extending the [Commission's] trading mandate…."[527] This commenter states that, when assessing the necessity of extending the extraterritorial reach of a particular ruleset, "it is important to consider the objectives of individual rulesets" and further

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524 *Id.* at 12.

525 *See id.* at 13.

526 *Id.*

527 *Id.* at 11.

states that "platform trading rules are not intended to address or mitigate risk, and therefore, the Commission should exercise more flexibility" when deciding whether these rules should extend to ANE transactions.[528] This commenter believes that including ANE transactions "would bring a random selection of additional transactions into scope merely due to some supporting role played by a U.S. based sales person, trader or other function caught up in ANE."[529]

Several commenters warn of negative implications for the SBS market from applying the trade execution requirements to ANE transactions.[530] One commenter expresses concern generally about the rule's "complexities and over-broad reach."[531] Another commenter states that firms and platforms would be required to make representations "that no ANE touchpoint is present in the U.S. for any SBS subject to the trading mandate" so as not to run afoul of Rule 832's requirements, which this commenter states would "require the development of a costly parallel infrastructure completely devoid of U.S. touchpoints…."[532] Similarly, another commenter states that, without regulatory certainty and clear jurisdictional boundaries, market participants may be unsure of which rules apply to a particular SBS transaction because "non-U.S. counterparties and platform operators frequently do not know whether a transaction involves U.S. ANE activities," which this commenter states will likely result in confusion among

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528 *Id.* This commenter states that rules related to mandatory platform execution are intended to provide counterparties with a sufficient level of pre-trade price transparency and that they should be addressed by the market regulators in the jurisdiction where the majority of trading activity is taking place. *See id.*

529 *Id.* at 12.

530 *See* SIFMA AMG Letter, *supra* note 18, at 11; Tradeweb Letter, *supra* note 18, at 3–4; ISDA-SIFMA Letter, *supra* note 18, at 11–12.

531 SIFMA AMG Letter, *supra* note 18, at 11.

532 ISDA-SIFMA Letter, *supra* note 18, at 12.

market participants and platform operators and may result in some market participants deciding not to transact in SBS at all.[533]

These commenters also state that foreign jurisdictions have adopted robust regulatory regimes that already subject non-U.S. persons and foreign trading venues to comparable and comprehensive regulations in their respective jurisdictions.[534] These commenters contrast the Commission's proposed approach with the CFTC's efforts "to curtail the U.S.' approach to extra-territoriality in light of the progress made by other jurisdictions in establishing robust derivatives regulatory regimes,"[535] with one noting that, in adopting its cross-border rules for certain swap-market participants in 2020, the CFTC announced that it would not consider ANE as a relevant factor in non-U.S. dealers' swap transactions.[536] Another commenter asks the Commission to be mindful of whether CFTC-registered SEFs would be forced to change their rules in order comply with the new proposed SBSEF rules.[537]

Finally, one commenter requests that the Commission make more explicit that the "covered person" definition in Rule 832 is a transaction-based test,[538] while another commenter requests additional clarity about the application of the rule.[539]

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533 Tradeweb Letter, *supra* note 18, at 4–5.

534 *See id.* at 4; ISDA-SIFMA Letter, *supra* note 18, at 12. *See also* SIFMA AMG Letter, *supra* note 18, at 11.

535 ISDA-SIFMA Letter, *supra* note 18, at 12. *See also* Tradeweb Letter, *supra* note 18, at 4; SIFMA AMG Letter, *supra* note 18, at 11. Section VII.B, *infra*, discusses the exemptions under Rule 833.

536 ISDA-SIFMA Letter, *supra* note 18, at 12 n.28. *See also* CFTC, Cross-Border Application of the Registration Thresholds and Certain Requirements Applicable to Swap Dealers and Major Swap Participants, 85 FR 56924, 56961–63 (Sept. 14, 2020); CFTC Release No. 8212-20 (July 23, 2020) (CFTC Withdraws "ANE" Staff Advisory and Issues New Cross-Border No-Action Relief).

537 SIFMA AMG Letter, *supra* note 18, at 11.

538 *See* ISDA-SIFMA Letter, *supra* note 18, at 11 n.26. Specifically, this commenter appreciates the Commission's clarification that the "covered person" definition is a transaction-based test but believes that the rule text could be more explicit in such regard by replacing: in prong (2) of the definition "a security-based swap" with "that security-based swap;" and in prong (3) of the definition "a transaction" with "that security-based swap transaction."

539 *See* SIFMA AMG Letter, *supra* note 18, at 11–12.

The Commission has considered the comments received for Rule 832 and is adopting the rule as proposed, with minor technical modifications.[540] As an initial matter, the Commission disagrees with those comments suggesting that Rule 832 may exceed the Commission's statutory authority. The trade execution requirement of section 3C(h)(1) provides that the Commission's authority with respect to trade execution is co-extensive with the Commission's authority to require SBS clearing under section 3C(a)(1) of SEA.[541] And the clearing requirement of section 3C(a)(1) provides for SBS clearing when a person is "engage[d] in a security-based swap" in the United States.[542] Thus, consistent with the Commission's territorial approach and Title VII, the relevant domestic activity that triggers the execution requirement is engaging in an SBS in the United States.

Rule 832 fits comfortably within the bounds of that statutory authority. A U.S. person undertaking SBS transactions within the United States is, as no commenter disputes, engaging in an SBS in the United States (irrespective of whether the counterparty is overseas). And this is true even if the U.S. person is undertaking the SBS transaction from a foreign office. As the Commission has explained, "a foreign office has no separate existence from the U.S. person itself."[543] It is the U.S. based entity that has legal and financial responsibility for the SBS transaction and for the ensuing obligations that will flow from the transaction over the life of the

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540 *See supra* note 32.

541 Section 3C(h)(1) of the SEA (requiring trade execution "[w]ith respect to transactions involving security-based swaps subject to the clearing requirement of subsection (a)(1)" of the SEA).

542 Section 3C(a)(1) of the SEA ("It shall be unlawful for any person to engage in a security-based swap unless that person submits such security-based swap for clearing to a clearing agency that is registered under this Act or a clearing agency that is exempt from registration ….").

543 Proposing Release, *supra* note 1, 87 FR at 28923 (citing Application of "Security-Based Swap Dealer" and "Major Security-Based Swap Participant" Definitions to Cross-Border Security-Based Swap Activities; Republication, SEA Release No. 72472 (June 25, 2014), 79 FR 47278, 47289 (Aug. 12, 2014) ("2014 Cross-Border Adopting Release")).

SBS. Thus, it is reasonable to understand the U.S. entity to have engaged in the United States in the SBS even if the initial undertaking (i.e., the SBS transaction) occurred in the entity's foreign office.

For similar reasons, a non-U.S. person who enters an SBS with another non-U.S. person has nonetheless engaged in an SBS in the United States (at least in part) if that SBS arrangement is guaranteed by a U.S. person. When a non-U.S. person operates with a guarantee from a U.S. person for the non-U.S. person's performance under an SBS, the SBS arrangement is economically equivalent and substantially identical with a transaction entered into directly with the U.S. guarantor. With such an arrangement, an essential element of the transaction from the viewpoint of the guaranteed person's counterparty is the legal and financial obligations such a guarantee imposes on the U.S. guarantor (without which there would be no need to include the U.S. guarantor) and brings the U.S. person legally and financially into the transaction as an interested party. This economic reality makes it appropriate to include guaranteed non-U.S. persons within the definition of "covered persons" in Rule 832.

Further, the statutory language is, in the Commission's view, reasonably understood to encompass a non-U.S. person who, in connection with its SBS dealing activity, uses U.S. personnel located in a U.S. branch or office, or personnel of an agent of such non-U.S. person located in a U.S. branch or office, to arrange, negotiate, or execute an SBS transaction. These activities rise to the level of engaging in an SBS in the United States. Undertaking critical steps in an SBS transaction qualifies as engaging in an SBS in the United States, no less than placing ultimate legal or financial responsibility for an SBS with a person in the United States (as occurs in the cases discussed above of an SBS transaction involving either a foreign office of a U.S. person or a U.S. guarantor).